

Tesla, Inc.
TSLA NASDAQ

Hold	\$327.06 ▲ 2.36%	12M Price Target \$360.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.29T
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TSLA: AI/Chip Bet Reignites, But Options Traders Nervous

WHAT HAPPENED

- TSLA popped 2.4% to \$327 on the back of a Big Tech risk-on day — Bloomberg is calling it "AI fears fading" and Tesla's riding that wave. The bigger deal: reports out today that Tesla + SpaceX are building their own \$119B chip fab. That's a massive tell — Musk is trying to escape being a "tenant" of Nvidia and TSMC and become his own compute landlord.
- But zoom out: stock is at just 15% of its 52-week range (\$297–\$499). This bounce is off deeply beaten-down levels, not a breakout.

WHY IT MATTERS

Here's what today really means: the market is finally starting to price Tesla as an AI/compute company again, not just a car maker with slowing deliveries. The \$119B chip fab news is huge because it signals Musk is going vertical — owning silicon means better Dojo/FSD economics and less reliance on Nvidia, whose GPUs have been eating everyone's margins. BUT — and this is important — the options flow is screaming caution. Traders are loading up on August puts at \$357-\$410 strikes (way out of the money), which usually means either a hedge against a big rally reversal OR someone with inside conviction that this bounce fizzles before earnings/robotaxi updates. Don't confuse a good day with a trend change.

POLICY & POLITICAL WATCH

The biggest overhang: the federal \$7,500 EV tax credit was gutted under the current administration's tax package, and CAFE (fuel economy) penalties have been softened — both directly hurt Tesla's regulatory credit revenue, which was ~\$2.8B of nearly pure profit last year. On the flip side, the administration's AI-friendly stance and push for domestic semiconductor manufacturing (leftover CHIPS Act money + new executive orders on onshoring compute) is a massive tailwind for the Tesla/SpaceX chip fab — expect them to angle for federal grants and tax breaks. Also watch China tariff talks: Tesla's Shanghai gigafactory is both an export hub AND a target if trade tensions escalate.

IS IT EXPENSIVE?

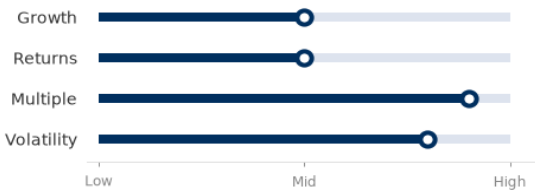
At \$1.29T market cap and roughly 150x forward earnings, investors are paying \$150 for every \$1 Tesla earns next year — compare that to Toyota at ~10x or even Nvidia at ~35x. That's not an auto valuation; that's a bet on robotaxi + Optimus + Dojo/chips working. The valuation is only defensible if you believe the AI/robotics narrative — as a car company, it's laughably expensive.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$327.06
12M Price Target	\$360.00
Upside / (Downside)	+10.1%
Market Cap	\$1.29T
FY2026E Revenue	\$108M
FY2027E Revenue	\$128M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	152.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$350.00	\$330.00	\$300.00
6 Months	\$420.00	\$355.00	\$265.00
1 Year	\$480.00	\$360.00	\$240.00
2 Years	\$600.00	\$400.00	\$220.00
5 Years	\$900.00	\$500.00	\$180.00
10 Years	\$1500.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+7% in 5 days) and Consumer Discretionary are ripping as AI fears fade — the administration's pro-AI, deregulatory stance is greasing the wheels. Materials up 4% on infrastructure/onshoring themes.

COOLING OFF: Healthcare barely positive, Real Estate slightly negative — rate-sensitive stuff is stuck as the Fed stays patient on cuts.

ROTATION WATCH: Money is rotating back INTO mega-cap AI names after a summer scare. TSLA is a lagging beneficiary — it's in the Mag 7 club but has been the weakest link, so it moves last.

RELATED PLAY: If you believe the Tesla/SpaceX chip fab is real, the shovel-sellers win too — think ASML, Applied Materials, and Lam Research. They sell to whoever builds fabs.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): still the AI reference stock — every time AI sentiment turns positive, NVDA leads and TSLA follows.
- RIVN (Rivian): getting attention on the R2 launch — actually a threat to Tesla's Model Y in the mid-market EV space.

TSLA CONTEXT: TSLA is LAGGING its Mag 7 peers badly — at 15% of its 52-week range while others are near highs. That's either a screaming setup for mean-reversion OR a warning that the market sees something structurally broken here. The options flow suggests the latter camp still has conviction.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — cautiously constructive on the AI/robotics pivot, but not pounding the table with EV tax credits gone and auto margins under pressure.

POSITION SIZE: 2-4% of portfolio. This isn't a core holding right now — it's a volatile bet on a narrative shift. Size it so a 30% drawdown doesn't wreck your sleep.

ENTRY POINTS: I'd add on pullbacks to \$300-315, near the 52-week low. Chasing at \$327 after a 2% pop isn't the play.

TIME HORIZON: 12-24 months. The catalysts I'm waiting for: robotaxi city expansion count, chip fab groundbreaking specifics, and Q4 auto margins.

WHEN TO BAIL: If robotaxi rollout stalls (no new cities in 6 months), auto gross margin drops below 12%, or Musk announces another major distraction/side project that pulls focus.

HEDGING: Buy protective puts (insurance contracts that pay off if the stock drops) 3-6 months out, or just keep the position small enough that you don't need to hedge.